(ii) The mercantilist policies adopted by export-led economies leading to accumulation of large current account surpluses and forex reserves;

(iii) Weaknesses in the international monetary system (IMS), particularly the absence of *alternative reserve assets* to the dollar;

(iv) Weak regulation of financial markets and intermediaries; and

(v) Excessive financial innovation and risk taking by finance and banking intermediaries (which led to the US 'sub-prime crisis') [the last four points were active at the micro level].

Attempts of the G-20

As the reasons forwarded for the global crisis varied to different issues the debates and *discussions in the G 20* (and other fora involving international organizations and financial institutions) have, therefore, been on wide-ranging issues. The question of how policies for reviving growth of individual countries impinge on the global economy and its imbalances and whether they could somehow be better coordinated has been at the centre of these discussions. These discussions are of some importance as they may, in the years to come, shape the style and substance of governance of the global economy. It is critical that the outcomes, if any, address the concerns of emerging economies *(such as India)* that are major drivers of global economic growth.

This section of the book examines a few selected issues that have been the subject of international deliberations (mainly in the G 20) and how they are relevant to India, many of them still evolving.

In 2011, the G-20 (formed in 1999 in the aftermath of the East Asian Crisis as a forum for Finance Ministers and central bank Governors) came to centrestage following the ***Leaders' Summit*** in Washington DC in November 2008 to focus on coordinated measures to address the challenges faced in the immediate aftermath of the global financial crisis. A declaration in the G-20 Summit at Pittsburgh, USA, in 2009 *(the Pittsburgh Declaration)* formally raised the forum to the level of leaders and transformed it into the premier forum for international economic cooperation.